

TP

LEVEL II

# EXECUTION

*FOLLOWING THE PROCESS*



# Hello!

## Welcome to **Level II: Execution**

In the first book, **Foundations**, you built the knowledge needed to understand the markets, price movement, risk, and trading psychology. Now it is time to put that knowledge into action.

This book is focused on execution. The ability to turn what you know into a repeatable process.

Throughout the next modules, you will learn how to build quality setups, manage risk, follow a trading plan, and execute with confidence.

The journal that accompanies this book will help you apply what you learn and develop consistency through disciplined execution.

**Let us begin.**

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MODULE 01

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# FROM KNOWING TO DOING

# QUICK FACTS

"A trader is not paid for what they know, but for what they do."

Trading principle



- Many traders understand the theory but still **lose** money.
- The **hardest** step in trading is turning **knowledge** into **action**.
- Skill comes from **repeating** the same **process** many times.
- **Good habits** and a **clear routine** make trading *easier*.
- A clean trading environment helps you act **fast** and stay **calm**.

# CHAPTER OVERVIEW

1

**FROM FOUNDATIONS  
TO EXECUTION**

2

**KNOWING IS NOT  
DOING**

3

**FROM SINGLE CONCEPTS  
TO ONE PROCESS**

4

**BUILDING HABITS AND  
ROUTINE**

5

**PREPARING YOUR TRADING  
SETUP**

TRADING PRECISION



# 1. FROM FOUNDATIONS TO EXECUTION

In the first book, you learned the foundations. You learned what the market is, how price moves, and the principles behind support, resistance, and risk. That knowledge is the **base of everything that comes next.**

But **understanding the market is not the same as trading it.** Many traders know the concepts, yet struggle when it is time to act.

This book is about **execution.** The ability to turn knowledge into **consistent action.** It is the skill of applying what you know with **confidence, discipline, and consistency.**

The difference between a learner and a trader is not **what they know.** It is **what they do.**

## 2. KNOWING IS NOT DOING

**Reading about trading is easy. Doing it under pressure is hard.**

1. When there is no money on the line, your mind is calm. You see the setup clearly and know exactly what you would do. But when real money is involved, **fear, doubt, and excitement** can make it difficult to follow your plan.

2. This gap between **knowing and doing** is normal. Every trader experiences it. It does not mean you lack knowledge. It simply means you need more practice.

3. The way to close the gap is **repetition**. Every correct action strengthens the habit. Over time, what once required effort becomes natural.

This is how **knowledge turns into skill**.

### 3. FROM SINGLE CONCEPTS TO ONE PROCESS

When you first learn trading, you study each concept on its own. One day it is market structure. Another day it is support and resistance. Later, you learn candlesticks and risk management.

**Real trading is different.** The market does not present one concept at a time. Everything happens together and fast.

To trade effectively, you must combine these concepts into **one process**. You read the structure, identify a key level, wait for confirmation, and make sure the risk makes sense. What were once separate ideas become **one clear decision**.



A process turns many small pieces into a repeatable action. Instead of reacting with uncertainty, you follow the same steps every time.

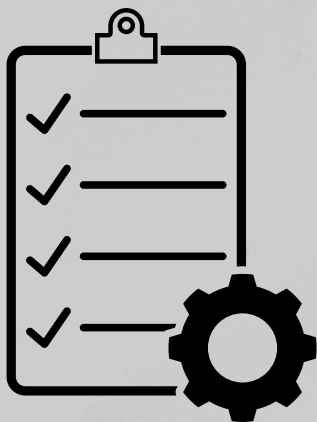
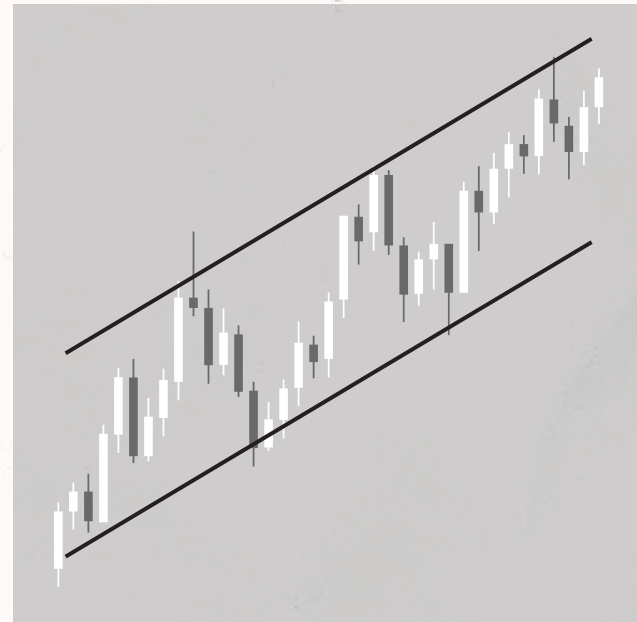
**This is what makes trading consistent. And anything consistent can be improved.**

## 4. BUILDING HABITS AND ROUTINE

**Consistency does not come from motivation.** Motivation comes and goes. If your trading depends on how you feel, your results will be inconsistent.

**Habits solve this problem.** A habit works even on difficult days because you do not have to decide. You simply follow the process you already trust.

A simple pre-market routine helps you prepare. You review the charts, identify key levels, and define what a good trade looks like before the session begins.



A post-market routine is just as important. By reviewing your trades and recording your thoughts, you begin to identify patterns and areas for improvement.

**Strong habits make good trading feel automatic.** The less you rely on emotions in the moment, the calmer and more consistent you become.

## 5. PREPARING YOUR TRADING SETUP

**Your environment affects how well you trade.**

A messy screen, a noisy room, and unnecessary distractions can lead to mistakes. A clean and simple workspace helps you stay focused.

**Execution also depends on speed.** In fast markets, a small delay can turn a good entry into a poor one or cause you to miss the trade entirely.



TRADING PRECISION

BUY

SELL

This is called **friction**. Friction is anything that slows you down between the decision and the action. Successful traders work to remove it by keeping their charts clean, their tools organized, and their actions consistent.

**Your attention should be on the trade, not the tools.** When your setup is clear and your process is efficient, you can execute your plan with confidence and precision.

Clean execution is not about working harder. It is about removing everything that gets in the way.



# KEY TAKEAWAYS

- ✓ The foundations give you knowledge. Execution turns that knowledge into action.
- ✓ The gap between knowing and doing is normal and closes through repetition.
- ✓ Real trading combines many concepts into one repeatable process.
- ✓ Habits and routine create consistency, even on difficult days.
- ✓ A clean environment and fast, simple actions reduce mistakes and missed trades.

# REFLECTION

Test your understanding of this chapter.

-  What is the difference between knowing the foundations and executing well?
-  Why do many traders understand the market but still lose money?
-  What does it mean to turn single concepts into one process?
-  How do habits make your trading more consistent than motivation?
-  What is friction in trading, and why does removing it help your execution?

Better execution starts with understanding the **habits** and **systems** behind it.

MODULE 02

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# READING THE MARKET IN REAL TIME

# QUICK FACTS

"The market is never wrong. Your reading of it can be."

Trading principle



- The market is always in one of two states: **trending or ranging**.
- Reading the market **live** is **harder** than reading it on a **finished chart**.
- A trend continues until **structure** clearly **breaks**.
- **Momentum** shows how strong a move really is.
- Some of the **best decisions** in trading are the **trades you skip**.

# CHAPTER OVERVIEW

1

**IDENTIFYING THE  
CURRENT MARKET STATE**

2

**TREND OR RANGE IN  
REAL TIME**

3

**SPOTTING A BREAK OF  
STRUCTURE AS IT FORMS**

4

**READING MOMENTUM**

5

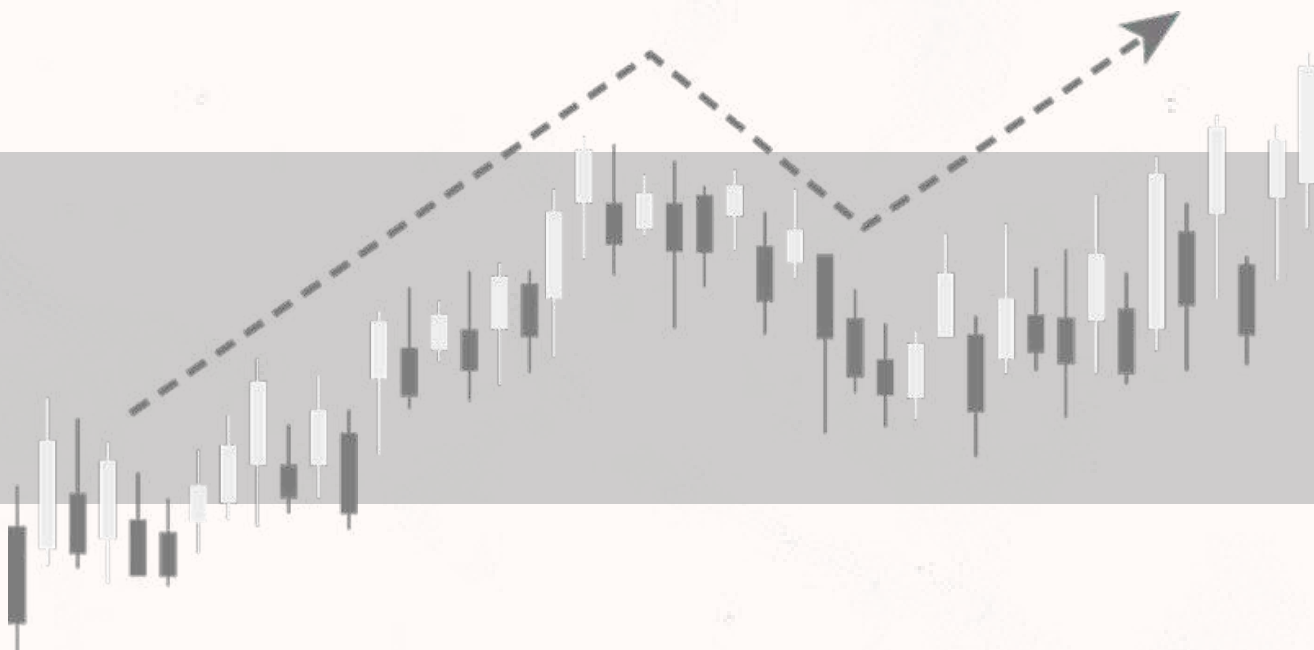
**DECIDING WHEN NOT TO TRADE**

# 1. IDENTIFYING THE CURRENT MARKET STATE

**Before you look for a trade**, you must answer one question:

**What is the market doing right now?**

In the first book, you learned about trends and market structure. Reading them on a completed chart is easy. Reading them while price is still moving is much harder.



Instead of trying to predict what comes next, focus on describing what is happening now. Ask yourself whether price is making **higher highs and higher lows**, **lower highs and lower lows**, or simply moving sideways.

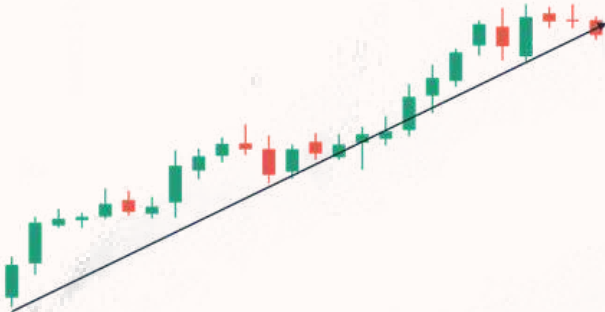
**This first read sets the tone for everything else.**

A setup that works well in a trend may fail in a range. Understanding the current market condition helps you avoid forcing the wrong trade at the wrong time.

## 2. TREND OR RANGE IN REAL TIME

The market is almost always in one of two states.  
It is **trending**, or it is **ranging**.

**TREND**



**RANGE**





# TRENDING



In a trend, price moves in one main direction. In an **uptrend** it makes higher highs and higher lows. In a **downtrend** it makes lower highs and lower lows. The pullbacks are smaller than the moves with the trend.

**In a trend, trading with the direction is usually the safer choice.**

# RANGING



In a range, price moves **sideways between a clear top and a clear bottom**. It bounces between these two areas without making real progress. In a range, price often turns back from the edges, so **chasing a breakout too early can trap you**.



The **mistake** many traders make is using the **wrong plan for the state they are in**. They try to follow a trend when price is stuck in a range, or they fight a strong trend by betting against it.

**Naming the state first, before anything else, helps you pick the right kind of trade.**

When you are not sure which state the market is in, that is useful information too. An unclear market is often a **market to leave alone**.

### 3. SPOTTING A BREAK OF STRUCTURE AS IT FORMS

**A trend does not last forever.** At some point the structure changes. Learning to see this change early is one of the most **useful skills** for an intermediate trader.

In the first book you learned about the **break of structure**. A break of structure happens when price stops making the pattern of the current trend.

In an uptrend, it means price fails to make a new higher high, and then breaks below the last higher low.

**This is a signal that the buyers may be losing control.**



Reading this live takes **patience**. A single candle moving past a level is not always a real break.

Price can poke through a level and then return, which only creates noise. A clearer signal is when price closes beyond the level and then holds there, instead of jumping straight back.

You do not need to catch the exact turning point. Trying to call the very top or bottom is risky. It is safer to wait for the structure to break and confirm, and then trade in the new direction.

**A confirmed change is worth more than an early guess.**

## 4. READING MOMENTUM

**Direction tells you where price is going. Strength tells you how strongly it is moving.**

Momentum is the speed and power behind a move. Strong moves often appear as **large candles with small wicks**, while weaker moves show **smaller candles, longer wicks, and choppy price action**.

This helps you judge whether a move is likely to continue. A break supported by strong buying or selling pressure is generally more reliable than one that occurs slowly with weak price action.

It can also signal when a trend is losing strength. As candles become smaller and wicks grow longer, the pressure behind the move may be fading.

**You do not need indicators to read this.** The candles already provide the information. With practice, you will learn to recognize the difference between a strong, clean move and a weak, choppy one.

#### **STRONG MOMENTUM**



#### **WEAK MOMENTUM**



## 5. DECIDING WHEN NOT TO TRADE

**Not every moment is a trading opportunity.** One of the biggest steps from beginner to intermediate is learning to wait.

The market does not always offer a clear setup. Sometimes the direction is unclear, price is stuck in a range, or the move has already happened. In these situations, **the best action is often no action.**

Many traders feel they must always be in a trade. They confuse activity with progress. But every trade should have a clear reason behind it. If you cannot identify the market state, the level, and the signal, you are likely **guessing rather than trading.**





**Waiting is not wasted time.** It protects your capital, preserves your focus, and keeps you ready for high-quality opportunities.

**Learning to do nothing is a skill.** It requires patience, discipline, and often becomes one of the strongest edges a trader can develop.

# KEY TAKEAWAYS

- ✓ Always read the current market state before looking for a trade.
- ✓ The market is usually either trending or ranging, and each needs a different plan.
- ✓ Wait for a break of structure to confirm before trading a change in direction.
- ✓ Momentum shows the strength behind a move and warns when one is fading.
- ✓ Choosing not to trade is often the most profitable decision you can make.

# REFLECTION

Test your understanding of this chapter.

- ❓ Why is reading the market in real time harder than reading a finished chart?
- ❓ How can you tell the difference between a trend and a range?
- ❓ What makes a break of structure more believable instead of just noise?
- ❓ What do strong candles and weak candles tell you about momentum?
- ❓ Why is choosing not to trade sometimes the best decision?

The better you understand these concepts, the easier it becomes to **make decisions in live markets.**

MODULE 03

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# BUILDING A COMPLETE SETUP

# QUICK FACTS

"A setup is not one signal. It is several reasons agreeing at once."

Trading principle



- A **complete setup** combines several pieces of evidence, **not just one**.
- **Confluence** means many signals pointing to the **same idea**.
- A key level tells you **where to act**. A candle tells you **when**.
- A clear **entry trigger** removes guessing from your decision.
- The more your reasons agree, the **stronger the trade**.

# CHAPTER OVERVIEW

1

**WHAT CONFLUENCE  
MEANS**

2

**COMBINING STRUCTURE  
WITH A KEY LEVEL**

3

**ADDING A CANDLE  
CONFIRMATION**

4

**DEFINING YOUR ENTRY  
TRIGGER**

5

**A FULL SETUP FROM START  
TO FINISH**

# 1. WHAT CONFLUENCE MEANS

**A single signal is rarely enough to trade.**

Strong trades happen when several reasons support the same idea. This agreement is called confluence.

**Confluence** occurs when multiple factors point in the same direction. For example, price reaches a key level, the trend supports the move, and a clear confirmation candle appears. Each signal may be weak on its own, but **together they create a stronger setup.**

Think of it like any important decision. One reason may leave you uncertain, but several reasons pointing the same way create confidence. Trading works the same way.

**The goal is not to find more signals. It is to find signals that agree.** When your reasons align, the trade becomes clearer. When they conflict, it is usually better to wait.

*Each signal is weak on its own...*





## 2. COMBINING STRUCTURE WITH A KEY LEVEL

The first two pieces of a setup are **structure** and a **key level**. Together they answer two questions.

- Which direction should I trade, and where should I act?

**Structure gives you direction.** If the market is in an uptrend, you look for chances to buy. If it is in a downtrend, you look for chances to sell. Trading in the direction of the structure puts the **odds on your side**.

**A key level gives you location.** A key level is a price area that mattered before, such as support, resistance, or a clear previous high or low. These are the areas where price is most likely to **react again.**

**The power comes from joining the two.** You do not buy just because the trend is up. You wait until price pulls back to a strong level inside that uptrend.

Now you have a direction and a place.

**This is far stronger than acting on either one alone.**

## STRUCTURE:



## KEY LEVEL:



TRADING PRECISION

### 3. ADDING A CANDLE CONFIRMATION

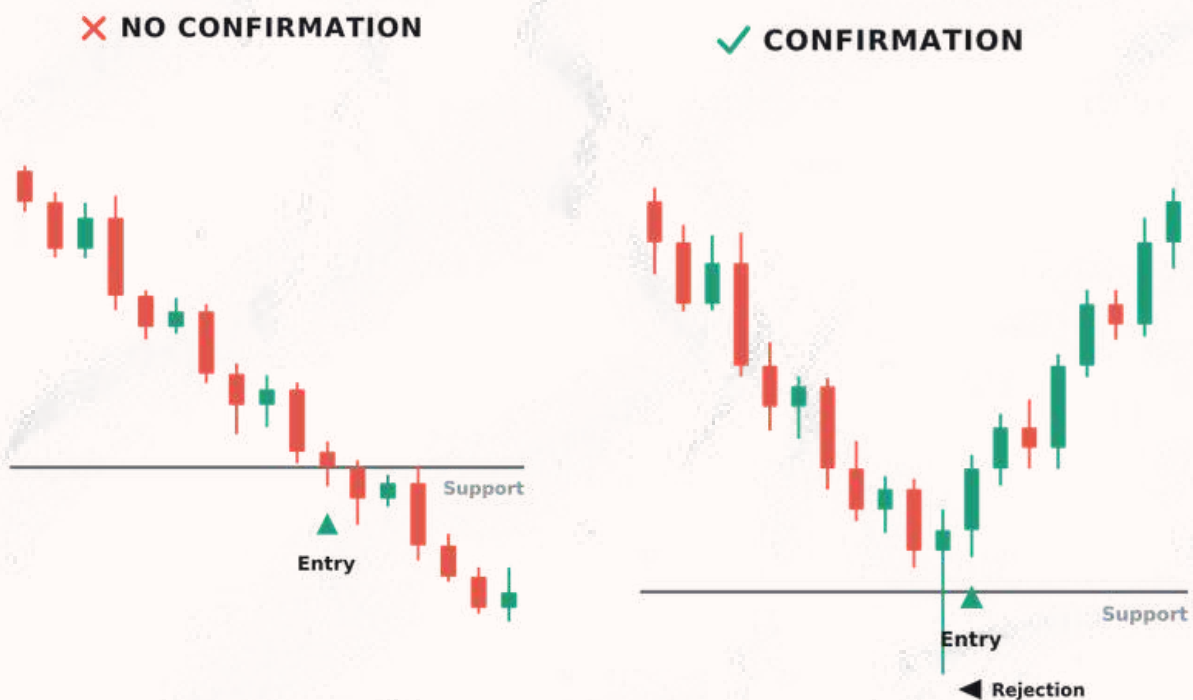
**Structure** and a **level** tell you **direction** and **location**. They do not tell you *timing*. Price can reach a level and keep going straight through it. This is why you wait for a **candle confirmation**.

A candle confirmation is a **sign** that the level is actually holding. At support, you might wait for a candle that rejects lower prices and closes back up, often with a long lower wick. At resistance, you wait for the opposite.

These candles show that **buyers or sellers** have stepped in at that exact **area**.

Waiting for confirmation **protects you**. Without it, you are guessing that the level will hold. With it, you let the market show you first. You give up the very **best price** in exchange for a much **safer entry**.

**Confirmation** will not always be perfect, and it will not always work. But over many trades, **waiting for the market to react** before you enter keeps you out of many **bad trades**.



TRADING PRECISION

## 4. DEFINING YOUR ENTRY TRIGGER

An entry trigger is the exact **moment you act**. It is the final step that turns a setup into a trade.

**Many traders fail here.** They see a good setup but enter at a random moment, driven by *emotion*. A **clear trigger** removes this problem. It is a simple rule you decide in advance, such as entering only after a confirming candle closes.

## **A good trigger is specific.**

*"Price looks ready"* is not a trigger, because it can mean anything.

*"Enter when a rejection candle closes back above support"* is a trigger, because it is clear and repeatable. You either see it or you do not.

When your trigger is **defined**, your decision becomes **simple**. You are no longer asking if you feel like trading. You are checking if your exact **condition is met**.

This is how you keep emotion out of the entry and **stay consistent** from one trade to the next.

## **5. A FULL SETUP FROM START TO FINISH**

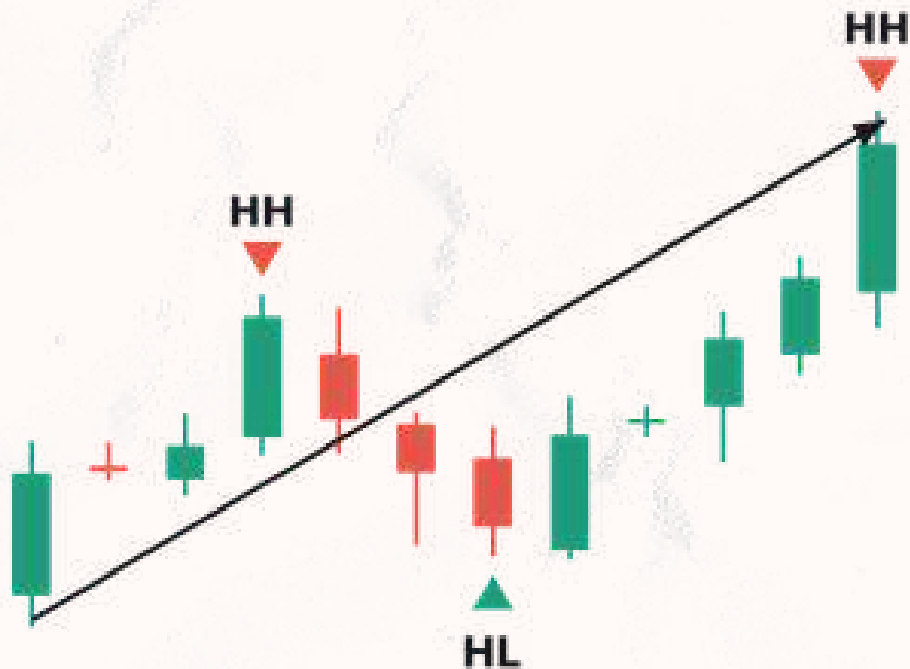
Now you can put the pieces together into one process. Each step builds on the last.

- 1. Read the market state**
- 2. Find a key level**
- 3. Wait for confirmation**
- 4. Act on your trigger**



# READ THE MARKET STATE

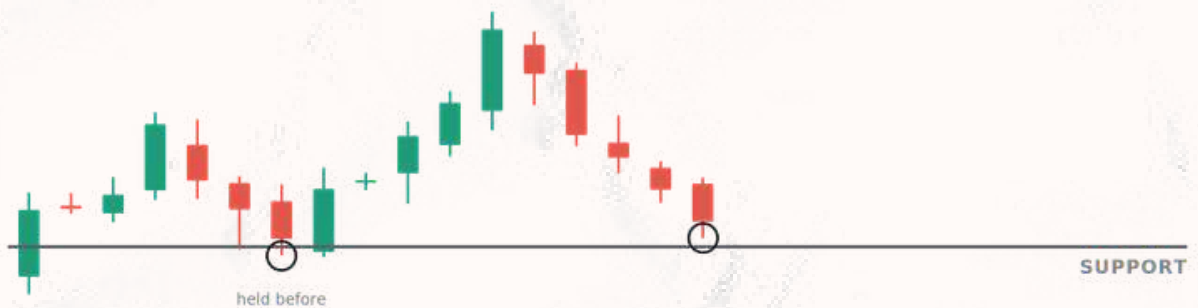
Imagine price is in a clear **uptrend**, making **higher highs** and **higher lows**. This tells you to look for *buying* chances only.



TRADING PRECISION

## FIND A KEY LEVEL

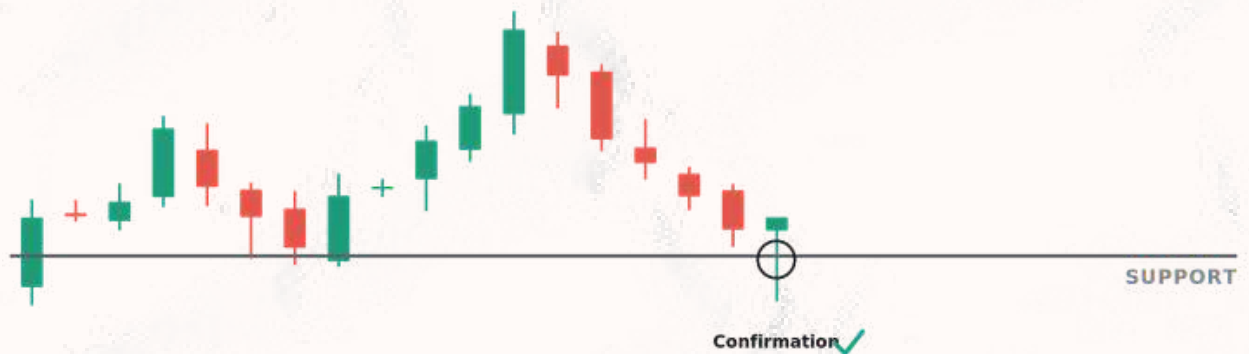
Price **pulls back** and reaches a **support area** that held before. Now you have a **direction** and a **place to watch**.



TRADING PRECISION

# WAIT FOR CONFIRMATION

At that support, a candle forms with a **long lower wick** and **closes back up**. This shows *buyers are defending the level*.



# ACT ON YOUR TRIGGER

Your **rule** is to **enter** when that **candle closes**. The condition is met, so you take the trade with your **stop** and **target** already **planned**.



## **This is a complete setup.**

Direction, location, confirmation, and trigger,  
all **agreeing at once**.

You will not get every trade right, but every  
trade will have a clear **reason** behind it.

When you can describe your trade in these  
**four steps**, you are no longer guessing. You  
are executing a process.

# KEY TAKEAWAYS

- ✓ A complete setup combines several reasons that agree, called confluence.
- ✓ Structure gives direction, and a key level gives location.
- ✓ A candle confirmation shows that a level is actually holding.
- ✓ An entry trigger is a clear, repeatable rule for the exact moment you act.
- ✓ A full setup joins direction, location, confirmation, and trigger into one process.

# REFLECTION

Test your understanding of this chapter.

-  What does confluence mean, and why is it stronger than a single signal?
-  How do structure and a key level work together in a setup?
-  Why is it safer to wait for a candle confirmation before entering?
-  What makes a good entry trigger different from a vague feeling?
-  Can you describe the four steps of a complete setup in your own words?

Reflecting on these questions helps turn separate concepts into one **complete trading process**.

MODULE 04

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ENTRIES, STOP  
LOSS & TAKE  
PROFIT IN PRACTICE



# QUICK FACTS

"Plan your exit before you enter. The exit is where money is made or lost."

Trading principle



- Your stop loss and target should be set **before** you enter, not **after**.
- A stop loss **protects** you from a single trade **hurting your account**.
- A **take profit** gives the trade a clear goal.
- Moving to **break-even** can **remove** your **risk** while the trade runs.
- A **partial exit** lets you take some profit and let the rest run.

# CHAPTER OVERVIEW

1

**PLACING YOUR ENTRY**

2

**WHERE TO PLACE THE  
STOP LOSS**

3

**SETTING YOUR TAKE  
PROFIT**

4

**BREAK-EVEN AND PARTIAL  
EXITS**

5

**A WORKED EXAMPLE WITH  
REAL LEVELS**

# 1. PLACING YOUR ENTRY

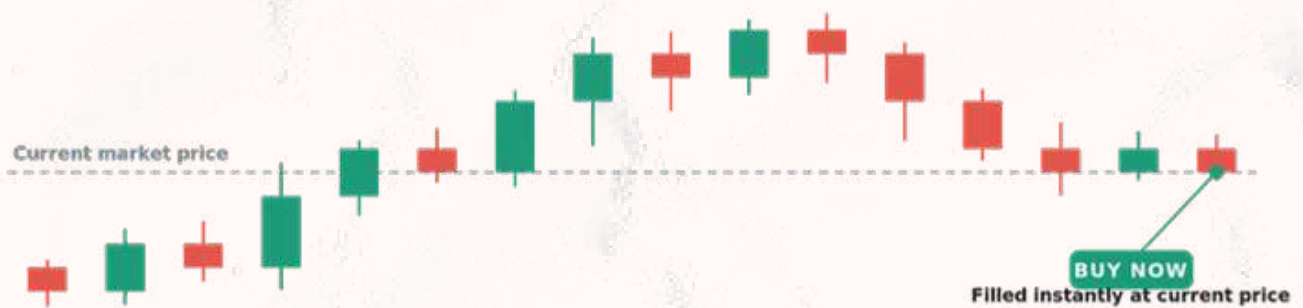
Your entry is the price where you **join the trade**. By now you know it should come from a complete setup, not from a feeling.

There are **two** common **ways to enter**:

**1.** **Enter at the market price**, the moment your trigger is met. This is simple and makes sure you are in the trade. It is useful in fast markets where price may not wait for you.

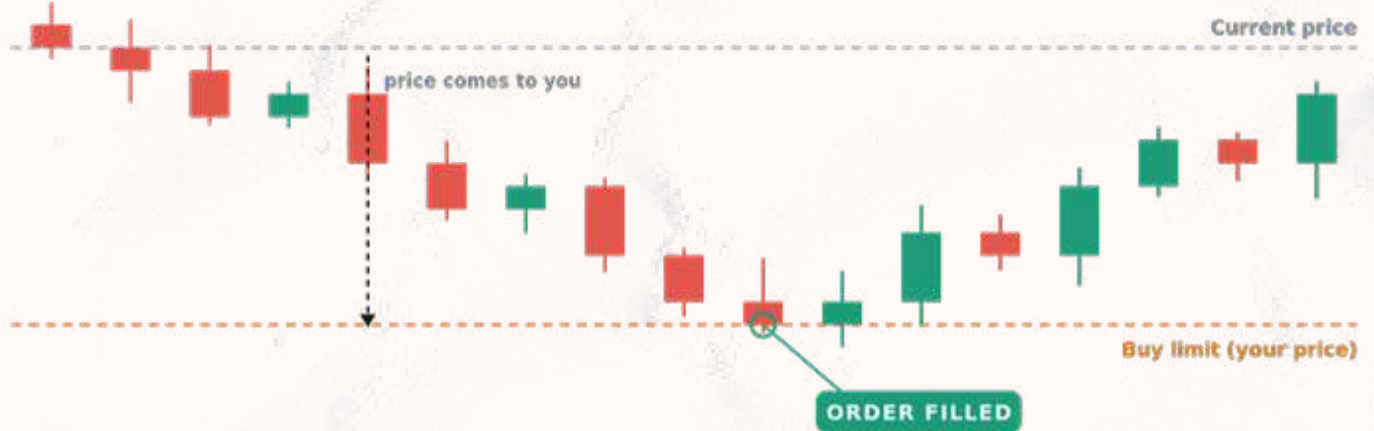
**2.** **Place an order at a chosen price** and wait for price to come to you. This can give a better entry, but price may never reach your order, and you miss the trade.

# MARKET PRICE



TRADING PRECISION

# LIMIT ORDER



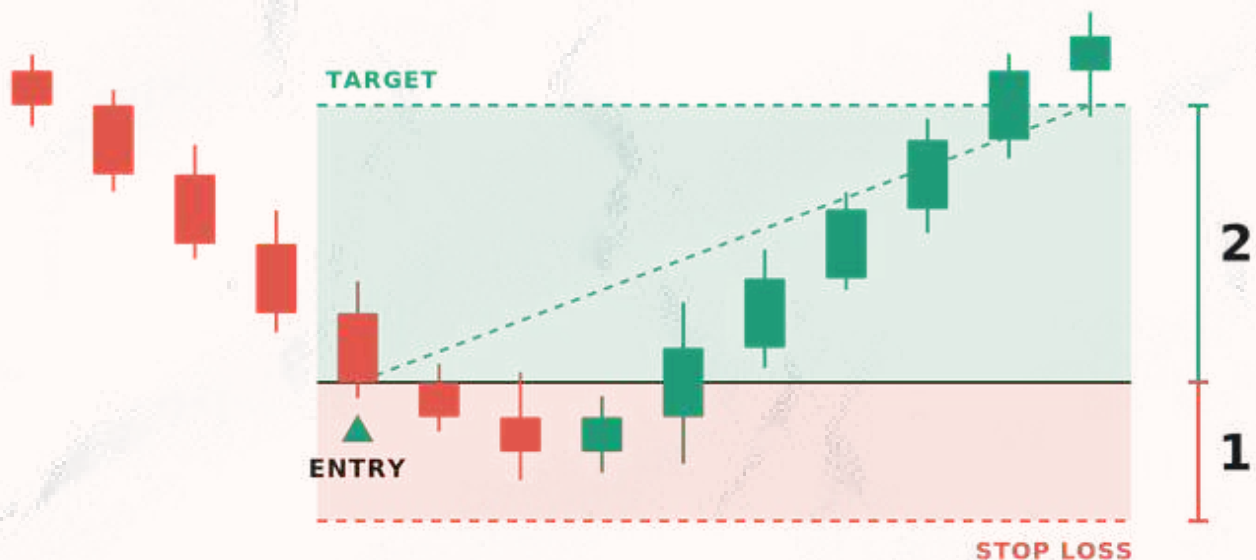
TRADING PRECISION

Neither way is always right. What matters is that your entry **follows your rule**. Once you are in, the entry is no longer the important part.

The exit is what decides your result, so your stop and target must already be **planned before you click**.

## 2. WHERE TO PLACE THE STOP LOSS

A stop loss is the price where you accept the trade was wrong and you close it. It is your safety line.  
**Every trade must have one.**



# SETTING A LOGICAL STOP LOSS

A stop loss marks the point where your **trade idea is wrong**. If you buy because support is holding, place your stop below it. If price breaks below support, you exit because the reason for the trade no longer exists.

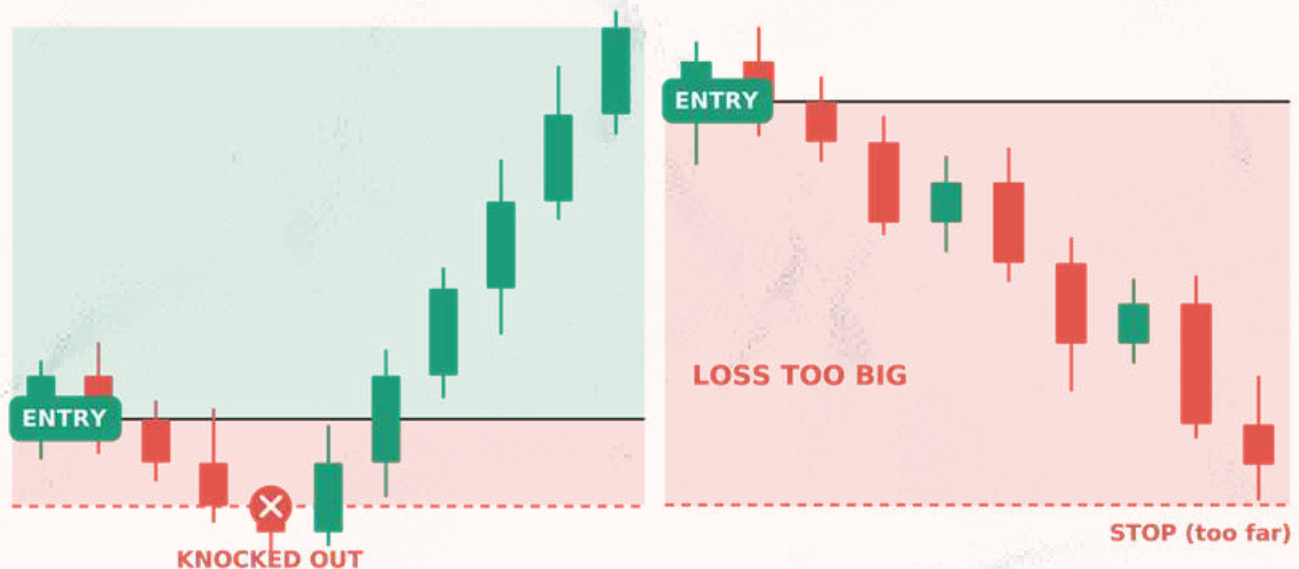




# COMMON MISTAKE

A common mistake is placing the stop **too close**. Price often moves a little before going your way. If your stop sits right at the entry, normal movement will knock you out for no reason.

Another mistake is placing it **too far**, where a loss becomes too big to accept.



# OPTIMAL PLACEMENT

The right place is just **beyond the level that would prove you wrong**. Not so tight that noise hits it, and not so wide that the loss is painful.

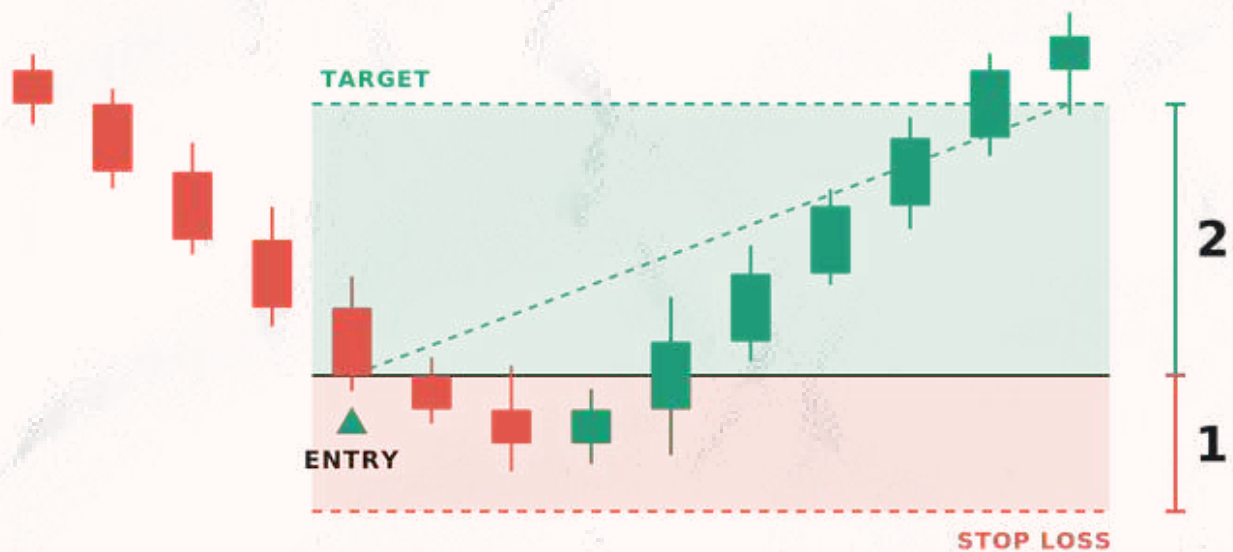
Your stop should be **based on the chart**, never on how much you hope to keep.



TRADING PRECISION

### 3. SETTING YOUR TAKE PROFIT

A take profit is the price where you **plan to close the trade in profit**. It gives the trade a clear goal before you start.



A simple way to set a target is to use the **next key level**. If you buy at support, a logical target is the next resistance above, where price may struggle.

You aim to exit into that area, before price reacts against you.



Your target should also make sense next to your risk. In the first book you learned the **risk reward ratio**.

If you risk one unit to gain two, that is a one to two ratio.

**RISK ONE UNIT : GAIN TWO = 1:2**



Setting targets that are **larger than your risk** means you can **win less than half** your trades and **still come out ahead** over time.



## **BE REALISTIC**

**A target too far away may never be reached.**

**A target too close may not be worth the risk.**

The goal is a target that price can reasonably reach, while still paying you more than you risked.

## 4. BREAK-EVEN AND PARTIAL EXITS

Once a trade moves your way, you can **manage it**. Two simple tools are the **break-even** stop and the **partial exit**.

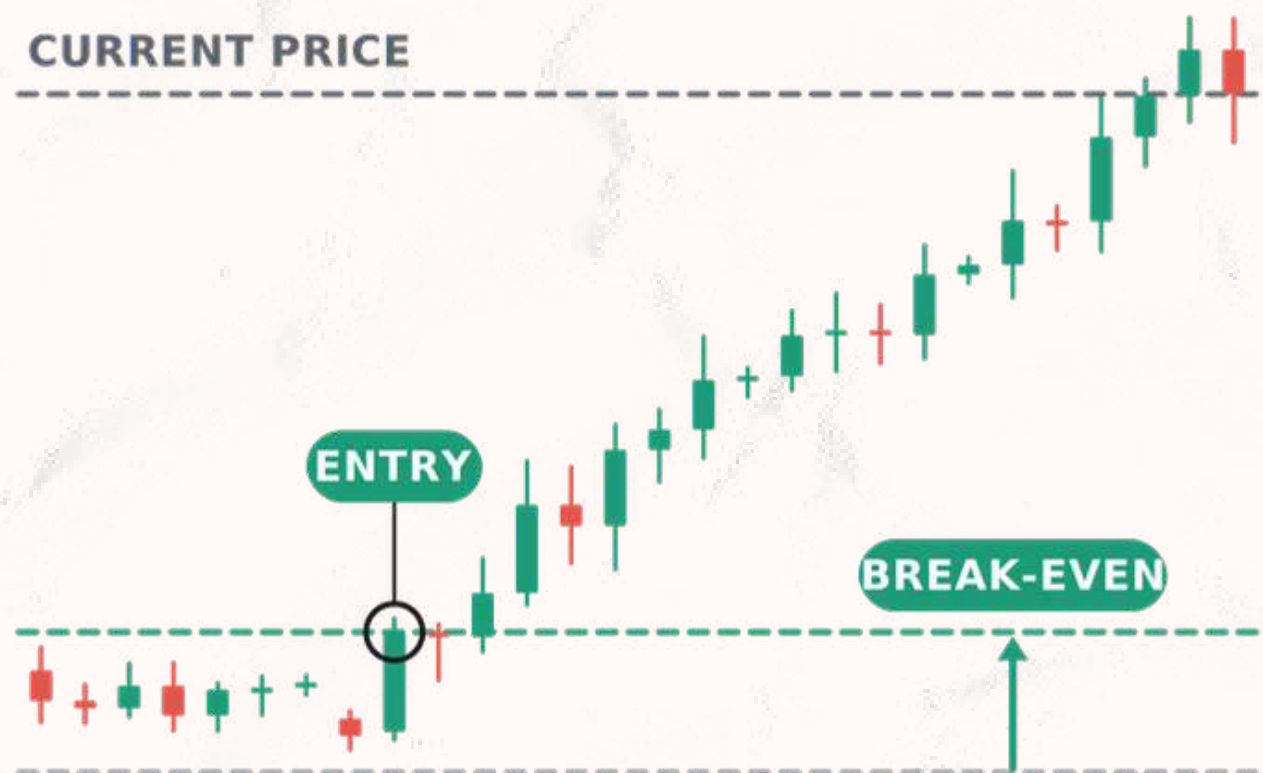
Moving to break-even means moving your stop loss up to your *entry price* **after the trade has moved in your favor**. From that point, if price turns around, you lose **nothing**.

This removes your risk and lets you relax. **Be careful not to do it too early**, or normal movement will close you out before the trade has room to work.

## ENTRY:



## MOVE SL TO BREAK-EVEN:



TRADING PRECISION



# PARTIAL EXIT

A partial exit means **closing part of your position while keeping the rest.**

For example, you **close half** at your first target and let the other half run toward a further target. This locks in real profit, while still leaving a piece in the trade for a larger move.

These tools are not required on every trade. They are ways to **control risk** and emotion **once a trade is alive.** Used well, they help you protect profit without **closing too early out of fear.**

## ENTRY:



## PARTIAL EXIT:



TRADING PRECISION

## 5. A WORKED EXAMPLE WITH REAL LEVELS

Let us **walk through one trade** with numbers, so the steps feel real.

Imagine an **uptrend**. Price pulls back to a support area at **100**. A candle rejects lower prices and closes back up at **101**. That is your **entry**.



## STOP LOSS

You place your stop loss **below the support**, at **98**. This is the price that would prove the level failed. Your **risk** is the distance from entry to stop, which is **3 points**.



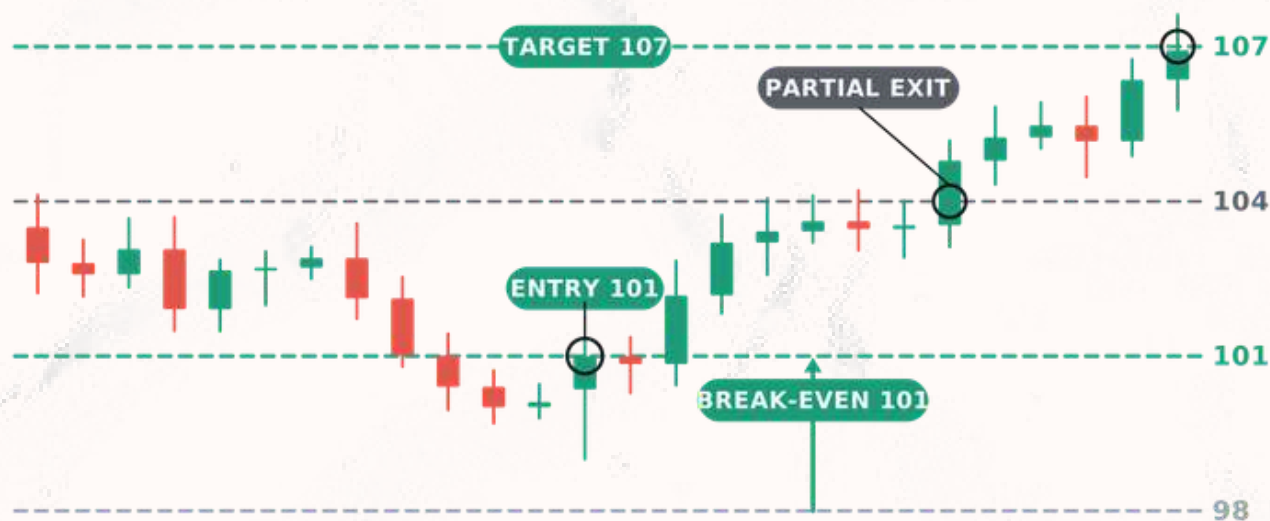
## TAKE PROFIT

You set your take profit at the next **resistance**, at **107**. The distance from entry to target is **6 points**. That gives you a **risk reward ratio** of **one to two**, because you **risk 3 to gain 6**.



## BREAK-EVEN

As price **rises** to **104**, you move your stop to your entry at **101**. Now the trade is at **break-even** and cannot lose. You may also close half here to lock in profit. If price **continues** to **107**, you close the rest at your target. If it turns instead, you exit at break-even with no loss.





Notice that every choice was made before the pressure hit.

Entry, stop, target, and management were all planned in advance. That is execution. You are not reacting to each tick.

**You are following a plan you trust.**

# KEY TAKEAWAYS

- ✓ Plan your stop loss and take profit before you enter the trade.
- ✓ Place your stop just beyond the level that would prove your idea wrong.
- ✓ Set your take profit at a realistic level that pays more than you risked.
- ✓ Move to break-even to remove risk, and use partial exits to lock in profit.
- ✓ A worked plan, decided in advance, keeps emotion out of your exits.



# REFLECTION

Test your understanding of this chapter.

-  Why should your stop loss and target be set before you enter?
-  What problems come from placing a stop loss too close or too far?
-  How can you use a key level to choose a take profit?
-  What is the purpose of moving your stop to break-even?
-  In the example, why was the trade a one to two risk reward ratio?

These questions help strengthen your understanding of **risk management** and **trade planning**.

MODULE 05

---

# POSITION SIZING WITH REAL NUMBERS

# QUICK FACTS

"Position size is how you control risk. It is the most ignored skill in trading."

Trading principle



- Position size decides how much money you **risk on a trade**.
- The **same percentage risk** can mean a **different position size** each time.
- Your size depends on your **account**, your **risk percent**, and your **stop distance**.
- **Correct sizing** keeps every loss about the same size.
- Sizing is simple math, but it **protects** you **more than any strategy**.

# CHAPTER OVERVIEW

1

**WHY POSITION SIZE  
MATTERS**

2

**THE THREE THINGS THAT  
DECIDE YOUR SIZE**

3

**CALCULATING YOUR  
SIZE STEP BY STEP**

4

**KEEPING YOUR RISK EQUAL  
ACROSS TRADES**

5

**A WORKED EXAMPLE WITH  
NUMBERS**

# 1. WHY POSITION SIZE MATTERS

Position size is **how much you buy or sell** on a trade. It is one of the most powerful tools you have, and one of the **most ignored**.

Many traders focus only on entries. But **two traders can take the exact same trade and get very different results**.

The one who used the **wrong size** can lose far more, even when the idea was the same. The entry was identical. **The size made the difference**.



**Position size** is what turns your risk percent into a real amount of money.

In the first book you learned to risk only a **small percent** of your account on each trade. Position sizing is the step that actually makes that true. Without it, your risk percent is only an idea, not a fact.



Get this **right**, and a **losing streak is survivable**. Get it **wrong**, and a few bad trades can **damage** your account badly.

**This is why sizing matters more than any single setup.**

## 2. THE THREE THINGS THAT DECIDE YOUR SIZE

Your position size depends on **three inputs**.  
When you know all three, the size is decided for you.

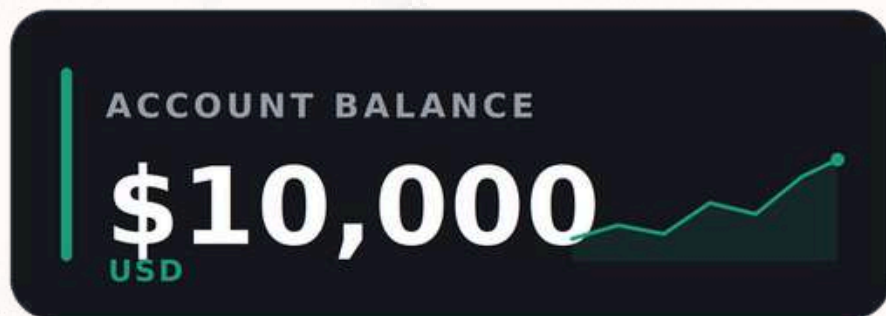
**1. ACCOUNT SIZE**

**2. RISK PERCENT**

**3. STOP DISTANCE**

# ACCOUNT SIZE

The first is your account size. **This is how much money you are trading with.** It is the base for everything else.



TRADING PRECISION

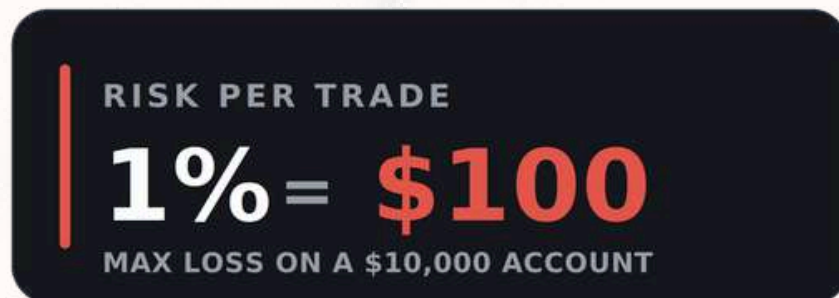


## RISK PERCENT

The second is your risk percent. This is **how much of your account you are willing to lose on one trade.**

A common choice is **one percent.**

On a **10,000** account, one percent is **100**. This is the most you will lose if the trade hits your stop.

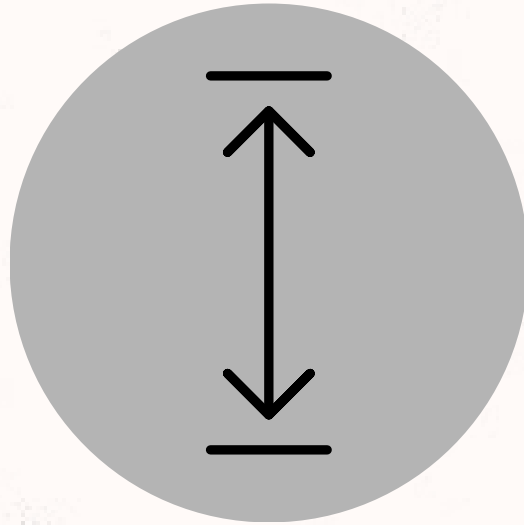


# STOP DISTANCE

The third is your stop distance. This is **how far your stop loss sits from your entry**.

A **wide stop** means you must trade **smaller**, and a **tight stop** lets you trade **larger**, for the same risk in money.





These three together **give you your size**. Notice that two of them, the account and the risk percent, stay mostly fixed.

The **stop distance changes with every trade**. That is why your position size also changes every time.

### 3. CALCULATING YOUR SIZE STEP BY STEP

The math is simple. You only need two steps.

#### STEP 1:

Find your risk in money. Multiply your account by your risk percent. On a **10,000** account at one percent, your risk is **100**. This is the amount you are allowed to lose on the trade.

#### STEP 2:

Divide your risk in money by your stop distance. This tells you **how large your position can be** so that, if the stop is hit, you lose exactly your planned amount.

## EXAMPLE

if your risk is 100 and your stop is 10 points away, you divide 100 by 10.

$$100 \div 10 = 10$$

Your size is **10 units per point**.

If the stop is hit, you lose 10 points times 10 units, which is 100.

$$10 \times 10 = 100$$

That is exactly your planned risk.

The same idea works in any market, even if the units have different names, such as lots, shares, or contracts. **The logic never changes.**

Risk in money, divided by stop distance, gives your **size.**

## 4. KEEPING YOUR RISK EQUAL ACROSS TRADES

The point of sizing is to **keep every loss about the same**. This is what protects you over many trades.

If you trade a **fixed size** every time and ignore the stop distance, your **losses** become **uneven**.

A trade with a wide stop will **hurt** much more than a trade with a tight stop. Your account starts to swing in ways you did not plan.

Correct sizing fixes this. When a trade needs a **wide stop**, you take a **smaller position**.

When a trade allows a **tight stop**, you can take a **larger position**. Either way, the loss in money stays the same if you are wrong. Your risk per trade becomes steady and predictable.

This steadiness is what lets you **survive a losing streak**. Every trader has runs of losses. If each loss is small and equal, a streak is only a small dip.

If your **losses are random** and large, the same streak can be **serious**. Equal risk turns a scary streak into a normal part of trading.



## 5. A WORKED EXAMPLE WITH NUMBERS

Let us size two different trades on the same account, so you can see the size change.

Your account is **10,000**.

Your risk per trade is **one percent**, which is **100**.

This stays the **same for both trades**.



# TRADE 1

- Trade one has a *tight stop*, **5 points** from entry.
- You divide your risk of **100** by the stop of **5**.
- Your size is **20** units per point.
- If the stop is hit, you lose **5 times 20**, which is **100**.

## TIGHT STOP (5 PTS)

RISK

STOP

SIZE

$$\text{\$100} \div \text{5 pts} = \text{20 /pt}$$

IF STOP HIT:  $5 \times 20 = \text{\$100 LOSS}$

## TRADE 2

- Trade two has a wider stop, **20 points** from entry.
- You divide your risk of **100** by the stop of **20**.
- Your size is **5** units per point.
- If the stop is hit, you lose **20 times 5**, which is again **100**.

WIDE STOP (20 PTS)

RISK

STOP

SIZE

$$\text{\$100} \div \text{20 pts} = \text{5 /pt}$$

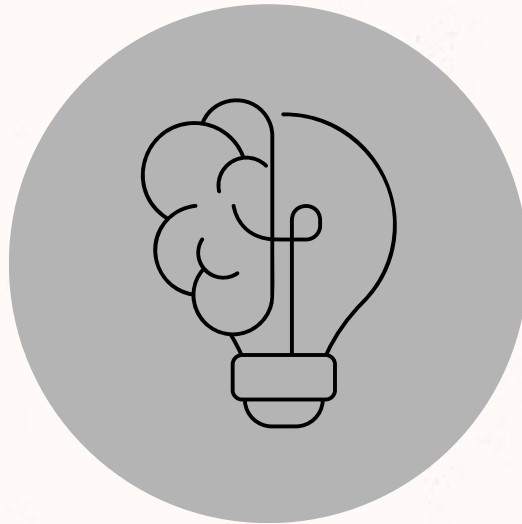
IF STOP HIT:  $20 \times 5 = \text{\$100 LOSS}$

## **Look closely at what happened.**

The two trades used very **different sizes**, 20 units and 5 units.

Yet the **loss was the same**, 100, on both.

That is the whole purpose of position sizing.  
The size changed so the **risk** stayed **equal**.



Once you understand this, you **stop fearing wide stops**. A wide stop is not more dangerous, as long as you size down to **match it**.

You are always risking the same **small slice** of your account, no matter what the chart looks like.

# KEY TAKEAWAYS

- ✓ Position size turns your risk percent into a real amount of money.
- ✓ Your size depends on your account, your risk percent, and your stop distance.
- ✓ To find size, divide your risk in money by your stop distance.
- ✓ Correct sizing keeps every loss about the same, even with different stops.
- ✓ Equal risk on every trade is what helps you survive losing streaks.

# REFLECTION

Test your understanding of this chapter.

-  Why can the same trade give different results for two traders?
-  What are the three inputs that decide your position size?
-  How do you calculate your size from your risk and your stop distance?
-  Why does your position size change on almost every trade?
-  In the example, why did both trades lose the same amount with different sizes?

Understanding **position sizing** helps you control risk on every trade.

MODULE 06

---

# THE TRADING PLAN



# QUICK FACTS

"A trader without a plan is not trading. They are gambling with extra steps."

Trading principle



- A trading plan is a written **set of rules** you decide in advance.
- A plan removes **guessing** and **emotion** from your decisions.
- Your plan should fit your own **style, time, and personality.**
- **Clear rules** tell you what to **trade** and what to **skip.**
- A **pre-trade checklist** turns your plan into a simple yes or no.

# CHAPTER OVERVIEW

1

**WHAT A TRADING PLAN  
IS AND WHY IT MATTERS**

2

**DEFINING YOUR STYLE  
AND TIMEFRAME**

3

**YOUR STRATEGY RULES**

4

**YOUR RISK RULES**

5

**BUILDING YOUR PRE-TRADE  
CHECKLIST**

# 1. WHAT A TRADING PLAN IS AND WHY IT MATTERS

A trading plan is a **written set of rules** that guides every decision you make. It says **what** you will trade, **when** you will trade, and **how much** you will risk. It is decided before the market opens, when your **mind is calm**.

The reason a plan matters is simple. In the moment, **emotion is strong**. Fear, greed, and excitement push you to **break your own rules**.

A **plan** made in advance **protects** you from yourself. When pressure hits, you do not decide. **You follow what you already chose.**

A plan also makes you **consistent**. If you trade by feeling, every day is different, and you can never tell what is working.

If you trade by **rules**, you do the same thing again and again. Only then can you see your **results** clearly and **improve** them.

Your plan should be **written down**, not kept in your head. A rule in your head is easy to bend. A rule on paper is harder to ignore.

This is exactly what the **Trader Profile** and **Rules pages** in your journal are for. They are the place where your plan lives.

## 2. DEFINING YOUR STYLE AND TIMEFRAME

Before you write rules, you must know **what kind of trader you are**. There is no single right style. There is only the style that fits you.

Your style depends on your **time** and **your personality**. Some traders watch the screen for short, fast moves during the day. Others take slower trades that last longer and need less screen time.

Neither is better. What matters is **choosing the one you can actually follow** with the life you have.

Your **timeframe** comes from your style. A **faster** trader reads **lower** timeframes, where moves happen quickly. A **slower** trader uses **higher** timeframes, where each candle covers more time.

Picking **one main timeframe** keeps your reading clear and stops you jumping around in confusion.

**Be honest with yourself here.** If you only have one hour in the morning, a style that needs all day will not work.

A plan that fits your real life is a plan **you can keep**.  
A plan that fights your life **will always break**.

## 3. YOUR STRATEGY RULES

Your strategy rules describe the **exact trade you are looking for**. They turn a general idea into a clear setup you can repeat.

Good strategy rules answer simple questions.

- **What market state do you need, a trend or a range?**
- **What level must price reach?**
- **What confirmation must you see before you act?**
- **What is your exact entry trigger?**

These are the same pieces you learned in the setup module, now written as your own rules.

Your rules should also **define your exits** in advance.

- **Where will your stop loss go?**
- **How will you choose your target?**
- **When will you move to break-even or take a partial exit?**

When all of this is written, a trade becomes a **checklist**, not a guess.

Keep your rules **clear and few**. A plan with too many rules is hard to follow and easy to drop. A short, sharp set of rules that you actually use is worth far more than a long list you ignore.

Your **Trading journal** gives you a Main Strategy line for exactly this reason. One clear strategy, written plainly.



## 4. YOUR RISK RULES

**Strategy rules** tell you **what to trade**.

**Risk rules** tell you **how to protect** your account while you do it.

These rules keep you in the game long enough to improve.



# FIRST RULE

Your first risk rule is your **risk per trade**.

This is the small **percent of your account** you are willing to **lose** on any single trade, often around one percent. From the sizing module, you know how to turn this into a position size.

**This rule should never bend**, no matter how sure you feel.

## SECOND SET OF RULES

Your second set of rules protects your day.

A **daily loss limit** is the most you will allow yourself to lose in one day before you stop.

A **maximum number of trades** per day stops you from overtrading.

A rule to **stop after a set number of losses** protects you from revenge trading, where you trade angry and lose more.

These are the rules on the **My Trading Rules** page of your journal.

Notice that page leaves blanks for **your own numbers**. The percent you risk, your maximum trades, and how many losses end your day are yours to choose.

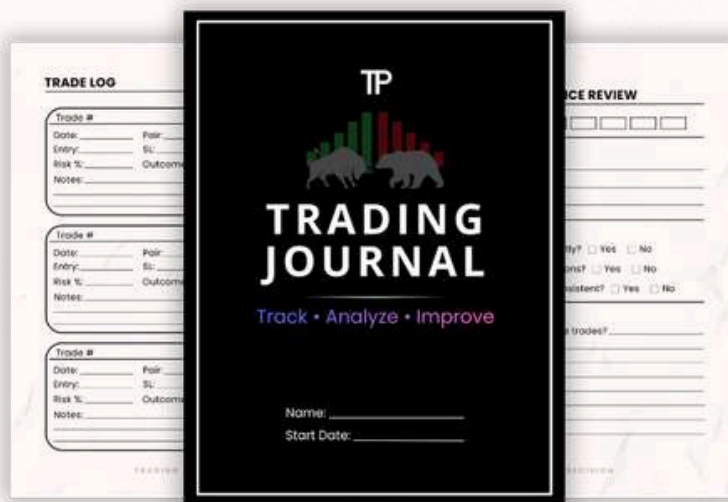
**Writing them down** turns a good intention into a firm rule.

## 5. BUILDING YOUR PRE-TRADE CHECKLIST

A pre-trade checklist is the **final tool of your plan**. It takes everything covered earlier in the book and turns it into a short list you check before every trade.

The idea is simple. **Before you enter, you go through your list.** If every box is *true*, the trade is *allowed*. If even one is *missing*, you *skip* the trade.

This **stops** you from entering on emotion or on half a setup.



Your journal gives you a **ready checklist**.

- ✓ Market structure is clear.
- ✓ A key level is identified.
- ✓ A confirmation signal is present.
- ✓ Risk is defined.
- ✓ The risk reward is acceptable.

If all are checked, the trade is **allowed**. This single page protects you from most bad trades.

**A checklist keeps your decisions simple.** Instead of relying on feelings, you only check whether your conditions are met. This is how a trading plan becomes consistent action.

# KEY TAKEAWAYS

- ✓ A trading plan is a written set of rules decided in advance, when you are calm.
- ✓ Choose a style and timeframe that fit your real life and personality.
- ✓ Strategy rules define the exact setup, entry, and exits you are looking for.
- ✓ Risk rules protect your account and your day from large or emotional losses.
- ✓ A pre-trade checklist turns your whole plan into a simple yes or no decision.

# REFLECTION

Test your understanding of this chapter.

- ❓ Why is a plan made in advance stronger than a decision made in the moment?
- ❓ How do your available time and personality shape your trading style?
- ❓ What questions should your strategy rules answer?
- ❓ Why are daily loss limits and trade limits important risk rules?
- ❓ How does a pre-trade checklist turn your plan into action?

A good trading plan turns **decisions** into a **repeatable process**.



MODULE 07

---

# USING YOUR TRADING JOURNAL

# QUICK FACTS

"You cannot improve what you do not record. The journal is where progress is made."

Trading principle



- A journal turns your **trading** into **data** you can **learn** from.
- Writing down trades makes your habits **visible, good** and **bad**.
- A **trade log** records the facts of each trade in the same way **every time**.
- A performance review finds **patterns across** many **trades**.
- A psychology review shows how **emotions** affect your **results**.

# CHAPTER OVERVIEW

1

**WHY JOURNALING  
MAKES YOU CONSISTENT**

2

**FILLING IN YOUR PROFILE  
AND RULES**

3

**LOGGING A TRADE  
CORRECTLY**

4

**THE PERFORMANCE REVIEW**

5

**THE PSYCHOLOGY REVIEW**

# 1. WHY JOURNALING MAKES YOU CONSISTENT

A trading journal is where you **record every trade** and what you did. It sounds simple, but it is one of the **strongest habits** a trader can build.

Without keeping records, your memory decides what you learn. **Memory** is a poor judge. It **remembers big wins** and **forgets quiet mistakes**. It changes the story to make you feel better.

Because of this, traders often **repeat the same errors without ever seeing them**.

Writing everything down removes this problem. It captures the facts exactly as they happened. Over time, those records **reveal the truth about your trading.**

You see which setups work, which mistakes keep returning, and when you **perform at your best.**

The goal is not to track profit and loss alone. It is to **improve your process.** A trade can **lose money** and still be a **good trade** if you followed your plan.

A trade can **make money** and still be a **bad trade** if you broke your rules. Keeping detailed records helps you judge the **quality of your decisions**, not just the outcome.

## 2. FILLING IN YOUR PROFILE AND RULES

Your journal begins with two pages that hold your plan. These are the **Trader Profile** and the **My Trading Rules** pages. You fill them in once, before you start, and return to them often.

**TRADER PROFILE**



Trader Name: \_\_\_\_\_

Start Date: \_\_\_\_\_

Markets Traded: \_\_\_\_\_

Trading Style: \_\_\_\_\_

Preferred Timeframe: \_\_\_\_\_

Main Strategy: \_\_\_\_\_

Risk Per Trade: \_\_\_\_\_

Daily Loss Limit: \_\_\_\_\_

Starting balance: \_\_\_\_\_

TRADING PRECISION

**MY TRADING RULES**

- 1 | I only trade my defined strategy
- 2 | I never risk more than \_\_\_\_% per trade
- 3 | Maximum trades per day: \_\_\_\_
- 4 | I always use a **STOP LOSS**
- 5 | I stop trading after \_\_\_\_ losing trades
- 6 | I review my trades consistently

TRADING PRECISION

# TRADER PROFILE

The Trader Profile is a short summary of **who you are as a trader**. It asks for your markets, your trading style, your preferred timeframe, your main strategy, your risk per trade, your daily loss limit, and your starting balance.

This is your **plan** from the last module, written in one place. Seeing it at the front of your journal reminds you of your own rules every time you open it.

TRADER PROFILE



Trader Name: \_\_\_\_\_

Start Date: \_\_\_\_\_

Markets Traded: \_\_\_\_\_

Trading Style: \_\_\_\_\_

Preferred Timeframe: \_\_\_\_\_

Main Strategy: \_\_\_\_\_

Risk Per Trade: \_\_\_\_\_

Daily Loss Limit: \_\_\_\_\_

Starting balance: \_\_\_\_\_

TRADING PRECISION

# MY TRADING RULES

The My Trading Rules page lists the **promises you make to yourself**. You only trade your defined strategy.

You never **risk** more than your **chosen percent**. You set your **maximum trades per day**. You always use a **stop loss**. You **stop** after a set number of losses. You **review** your trades.

## MY TRADING RULES

- 1 | I only trade my defined strategy
- 2 | I never risk more than \_\_\_\_% per trade
- 3 | Maximum trades per day: \_\_\_\_
- 4 | I always use a **STOP LOSS**
- 5 | I stop trading after \_\_\_\_ losing trades
- 6 | I review my trades consistently

TRADING PRECISION

TRADING PRECISION



Some of these rules have blanks for **your own numbers**. Fill them in honestly, based on the plan you built. These pages are not decoration.

They are the **standard** you measure every future trade against.

### 3. LOGGING A TRADE CORRECTLY

**The trade log is the heart of the journal.** Each trade gets its own entry, recorded the same way every time. Doing it the same way is what makes the data useful later.

For each trade, you record the **date** and the **pair**. You mark if it was **long** or **short**. You write your **entry** price, your **stop loss**, and your **take profit**. You note your risk percent and the outcome, whether it was a **win, a loss, or a break-even**.

Then you add a short note about **why you took the trade and how it went**.

The note is the most valuable part. The numbers tell you **what** happened. The note tells you **why**. A good note is short and honest.

*"Strong pullback entry, followed my plan" tells you something real. So does "Entered early without confirmation."*

Over many trades, these notes reveal your true habits.

| TRADE LOG (EXAMPLE)                                             |                                                                                                                               | Week/Month:                                                             |
|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| <b>Trade # 1</b>                                                |                                                                                                                               |                                                                         |
| Date: <u>29.1.2026</u>                                          | Pair: <u>XAU/USD</u>                                                                                                          | <input checked="" type="checkbox"/> Long <input type="checkbox"/> Short |
| Entry: <u>5329.016</u>                                          | SL: <u>5197.055</u>                                                                                                           | TP: <u>5593.302</u>                                                     |
| Risk %: <u>1</u>                                                | Outcome: <input type="checkbox"/> Win <input checked="" type="checkbox"/> Loss <input type="checkbox"/> BE <u>1% (-100\$)</u> |                                                                         |
| Notes: <u>Poorly planned entry. Risk-Reward 1:2</u>             |                                                                                                                               |                                                                         |
| <b>Trade # 2</b>                                                |                                                                                                                               |                                                                         |
| Date: <u>06.02.2026</u>                                         | Pair: <u>BTC/USDT</u>                                                                                                         | <input checked="" type="checkbox"/> Long <input type="checkbox"/> Short |
| Entry: <u>62585.79</u>                                          | SL: <u>58314.97</u>                                                                                                           | TP: <u>71068.11</u>                                                     |
| Risk %: <u>1</u>                                                | Outcome: <input checked="" type="checkbox"/> Win <input type="checkbox"/> Loss <input type="checkbox"/> BE <u>2% (200\$)</u>  |                                                                         |
| Notes: <u>Strong pullback entry. Risk-Reward 1:2</u>            |                                                                                                                               |                                                                         |
| <b>Trade # 3</b>                                                |                                                                                                                               |                                                                         |
| Date: <u>10.2.2026</u>                                          | Pair: <u>EUR/USD</u>                                                                                                          | <input type="checkbox"/> Long <input checked="" type="checkbox"/> Short |
| Entry: <u>1.18906</u>                                           | SL: <u>1.19698</u>                                                                                                            | TP: <u>1.17561</u>                                                      |
| Risk %: <u>1</u>                                                | Outcome: <input type="checkbox"/> Win <input type="checkbox"/> Loss <input checked="" type="checkbox"/> BE <u>0</u>           |                                                                         |
| Notes: <u>Emotional entry. Trade closed at BE with no loss.</u> |                                                                                                                               |                                                                         |
| <u>Risk-Reward 1:1.7</u>                                        |                                                                                                                               |                                                                         |



**Log every trade, not only the good ones.**

The trades you least want to record are often the ones you most need to see. A complete log is honest. A log with gaps hides the very mistakes you are trying to fix.

## 4. THE PERFORMANCE REVIEW

A single trade tells you little. The real lessons appear when you look at **many trades together**. This is the purpose of the performance review.

After a group of trades, you review them as a set. You look at the main market condition, the main strategy you used, and your most common reason for entering. You ask honest questions.

- **Did you follow your rules consistently?**
- **Did emotions affect your decisions?**
- **Was your risk management steady?**



Then you reflect.

- **What worked well across these trades?**
- **What needs to improve?**
- **What was your most common mistake?**
- **What is the main lesson?**

Writing these answers turns a pile of trades into a clear direction for what to fix next.

The power of the review is that **it finds patterns.**

One early entry might be bad luck. The same early entry ten times is a **habit you must address.** You cannot see this in a single trade.

You can only see it by stepping back and **reviewing the group.**

## 5. THE PSYCHOLOGY REVIEW

The last part of the journal looks at your **emotions**. Your mindset drives your decisions, so it deserves its own review.

The psychology review asks what you felt before, during, and after trading. It lets you mark the **emotions you felt most often**, such as confidence, fear, greed, fear of missing out, frustration, impatience, or the urge to revenge trade.

**Naming an emotion is the first step to controlling it.**

Then you reflect on how those feelings changed your actions.

- **Did your emotions affect your decisions?**
- **What triggered your emotional trades most often?**
- **When did you trade your best?**
- **What psychological habit needs the most work?**

These questions connect **how you felt** to **what you did**.

This review matters because most trading mistakes are emotional, not technical. You usually know the right thing to do. The problem is doing it when fear or greed is loud.

By tracking your emotions over time, you **learn your own triggers** and slowly build the calm that good execution needs.



# KEY TAKEAWAYS

- ✓ A journal records the facts, so you learn from truth instead of memory.
- ✓ Your Profile and Rules pages keep your plan in front of you.
- ✓ Log every trade the same way, and use the note to capture why.
- ✓ The performance review finds patterns across many trades, not just one.
- ✓ The psychology review connects your emotions to your decisions.

# REFLECTION

Test your understanding of this chapter.

- ❓ Why is memory a poor way to judge your own trading?
- ❓ What is the difference between a good trade and a winning trade?
- ❓ Why is the note often the most valuable part of a trade log?
- ❓ What kind of patterns can a performance review reveal?
- ❓ Why does tracking your emotions improve your execution?

Reflecting on these questions helps you **learn** from your **trading decisions**.

MODULE 08

---

# BACKTESTING & BUILDING CONFIDENCE

# QUICK FACTS

"Confidence does not come from hope. It comes from proof you have tested yourself."

Trading principle



- Backtesting means **testing your strategy** on **past price data**.
- It shows whether your **rules** have an edge before you **risk real money**.
- A few simple numbers can tell you if a strategy is **worth trading**.
- **Forward testing** checks your strategy on live markets **without real risk**.
- Real confidence comes from **proof**, not from a **good feeling**.

# CHAPTER OVERVIEW

1

**WHAT BACKTESTING IS**

2

**HOW TO BACKTEST  
YOUR STRATEGY**

3

**WHAT TO MEASURE**

4

**FORWARD TESTING ON A  
DEMO**

5

**TURNING RESULTS INTO  
CONFIDENCE**

TRADING PRECISION

# 1. WHAT BACKTESTING IS

Backtesting means **checking your strategy against past price action.**

You go back on the chart and look for the setups your rules describe. For each one, you **record what would have happened** if you had taken the trade.

The reason to backtest is simple. It lets you **test an idea without risking money.** Before you trust a strategy with your account, you want proof that it has worked before.

Backtesting gives you that **proof**, or it warns you early that the idea is weak.



**Backtesting also builds skill.** As you look through many charts, you train your eyes to spot your setup quickly. By the time you trade it live, you have already seen it hundreds of times. The setup becomes familiar instead of new and frightening.

**It is important to be honest while testing.** It is easy to fool yourself by only counting the winning trades or by bending the rules after the fact. A useful backtest follows the exact same rules every time, and records every trade, win or lose.

## 2. HOW TO BACKTEST YOUR STRATEGY

To backtest, you need your **written rules** and a **chart of past price**. The process is slow but simple.

You move through the chart **one step at a time**, as if the trade were happening live. When you reach a point where your setup appears, you stop. You check your rules.

- **Is the structure right?**
- **Is there a key level?**
- **Is there a confirmation and a trigger?**

If all your conditions are met, **you record the trade**.



For each trade, you note the entry, the stop, and the target your rules would have given. Then you move forward and see what price did.

- **Did it reach your target, or did it hit your stop first?**

You **write down the result** and move on to find the next setup.

Do enough of these to get a real picture. A handful of trades proves nothing, because luck can swing a small sample.

A larger number, taken over different market conditions, gives you a result you can trust.

**Patience here saves you money later.**

## **3. WHAT TO MEASURE**

Once you have a set of test trades, a few simple numbers tell you if the strategy is worth trading.

**1. WIN RATE**

**2. AVERAGE RISK REWARD**

# 1. WIN RATE

The first is your win rate. This is the **percent of trades that won.**

If you won 40 out of 100 trades, your win rate is 40 percent.

**40 out of 100 = 40%**

A high win rate feels good, but on its own it **does not tell you enough.**

## 2. AVERAGE RISK REWARD

The second is your average risk reward. This is **how much you win on average compared to what you risk.**

A strategy that wins twice what it risks has an average risk reward of one to two.

$$\mathbf{R:R = 1:2}$$

This number matters as much as the win rate.

# EXPECTANCY

The two work together through a simple idea called **expectancy**.

Expectancy is whether the **strategy makes money over many trades**, once wins and losses are combined.

A strategy can win less than half its trades and still be strong, **if the wins are bigger than the losses**.

A strategy can win often and still lose money, **if the losses are bigger than the wins**.

You are looking for a combination that comes out ahead over time.

## 4. FORWARD TESTING ON A DEMO

Backtesting looks at the past. Forward testing **checks your strategy** on the **live market**, in **real time**, but **without real money**. Most platforms offer a demo account for exactly this.

Forward testing matters because **live trading is different from a finished chart**. On a backtest, the right edge of the chart is already known.

In live markets, the **next candle is a mystery**. Forward testing puts you in that real moment, where you must decide without seeing the future.

A **demo account** lets you practice the full process safely. You find the setup live, place the trade, set your stop and target, and manage it to the end. You also log every trade in your journal, exactly as you would with real money. The only thing missing is the financial risk.

This stage is where your **plan meets reality**. Some strategies that look perfect on past data feel very different live. Forward testing reveals these problems before they cost you anything.



**Treat the demo seriously, follow every rule, and it becomes a true rehearsal for live trading.**

## 5. TURNING RESULTS INTO CONFIDENCE

The real reward of testing is confidence. Not the loud confidence of hope, but the quiet **confidence of proof**.

When you have **tested a strategy** on the past and on a demo, you know its numbers. You know roughly how often it wins, how big the wins and losses tend to be, and how it feels to trade. You have seen it survive losing streaks and recover.

**This knowledge changes how you act under pressure.**





**A tested trader handles losses differently.** A single loss no longer feels like proof that the strategy is broken, because you have already seen many losses inside a winning system. You can take the next trade calmly, knowing the edge plays out over many trades, not one.

**This is how testing connects to execution.** The whole point of this book is to act on your plan without hesitation. Proof is what makes that possible. You follow your rules in the hard moment because you have already watched them work.

**Confidence built on testing is the foundation that lets you execute.**

# KEY TAKEAWAYS

- ✓ Backtesting checks your strategy on past data, without risking money.
- ✓ Test with the same rules every time, and record every trade honestly.
- ✓ Measure your win rate and average risk reward, which combine into expectancy.
- ✓ Forward testing on a demo checks your strategy live, in real time, with no risk.
- ✓ Confidence comes from proof through testing, and proof is what lets you execute.

# REFLECTION

Test your understanding of this chapter.

- ❓ What is the purpose of backtesting before trading live?
- ❓ Why does a small number of test trades fail to prove anything?
- ❓ How do win rate and average risk reward work together as expectancy?
- ❓ Why is forward testing on a demo different from backtesting?
- ❓ How does tested proof help you stay calm during a losing streak?

A proven strategy is easier to follow during  
**difficult periods.**

MODULE 09

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# EXECUTION AND MINDSET IN LIVE TRADING

# QUICK FACTS

"When the moment comes, you will not rise to your hopes. You will fall to your habits."

Trading principle



- A **pre-market routine** prepares your mind before the first trade.
- Clean execution means **acting on your plan** without hesitation.
- Managing a live trade is about **following rules**, not reacting to every tick.
- Emotions are strongest in the moment, so **habits** must **carry you through**.
- Ending your day with a review turns **today's trades into tomorrow's skill**.

# CHAPTER OVERVIEW

1

**YOUR PRE-MARKET  
ROUTINE**

2

**EXECUTING WITHOUT  
HESITATION**

3

**MANAGING A LIVE  
TRADE**

4

**HANDLING EMOTIONS IN  
THE MOMENT**

5

**REVIEWING AND ENDING  
YOUR TRADING DAY**

TRADING PRECISION

# 1. YOUR PRE-MARKET ROUTINE

**Live trading begins before you take a single trade.**

It begins with your routine. A routine prepares your mind so you are calm and ready when the market moves.

**A good routine is short and the same every day.**

You check the higher timeframe to see the bigger picture. You mark the key levels where price may react. You note any important news.

**You read your plan and your rules,** so they are fresh in your mind. By the time the session starts, you already know what a good trade looks like for today.



This preparation does more than organize your charts. **It settles your mind.** When you have done your routine, you are not reacting in surprise to every move. You are waiting for the setups you already expected.

A prepared trader is a **calm trader**, and calm is where good execution starts.

Without a routine, you arrive at the market **unready**. You see price moving and feel you must act, with no plan behind the action.

**The routine replaces that panic with patience.** It is the first habit of every consistent trading day.



## 2. EXECUTING WITHOUT HESITATION

When your setup appears, the time for thinking is over. You have already done your study, your testing, and your planning. **Now you must act.**

This is the **hardest moment** for many traders. They see the exact setup they waited for, and they freeze.

**Doubt** creeps in. They wait for more proof, miss the entry, and then watch the trade go without them. Or they **hesitate, jump in late** at a worse price, and ruin the risk reward.



### **Hesitation usually comes from a lack of trust.**

If you do not trust your plan, every entry feels like a gamble. This is why the earlier work matters so much. A **tested plan and a clear checklist** let you act, because you are not guessing. You are following a process you have already proven.

**Clean execution** also depends on your setup being ready. When your tools are arranged and your actions are fast and familiar, there is nothing between your decision and your entry.

The setup is clear, the action is simple, and you do it. **The less friction stands in your way, the easier it is to act** the moment your conditions are met.

### 3. MANAGING A LIVE TRADE

**Once you are in a trade, your job changes.**

You are no longer looking for a setup. You are managing the one you have, by following the plan you already made.

The key is to **manage by rules**, not by feelings. Before you entered, you set your stop and your target. You decided when you would move to break-even and whether you would take a partial exit.

Now you simply carry out those decisions as price reaches them. **The plan leads, and you follow.**



**The danger in a live trade is reacting to every tick.**

Price moves up and you feel greed, so you grab profit too early.

Price moves down and you feel fear, so you move your stop and **break your own rule**. Each small reaction chips away at your plan until nothing is left of it. The way to avoid this is to decide in advance and then **trust those decisions**.

Good trade management is quiet. Most of the time, the best action is **to do nothing** and let the trade reach your stop or your target.

**You act only when your plan tells you to.** A trade you manage by rules is a trade you can repeat. A trade you manage by emotion is a trade you can never learn from.

## 4. HANDLING EMOTIONS IN THE MOMENT

**Emotions are strongest exactly when you can least afford them**, in the middle of a live trade. You cannot delete these feelings, but you can stop them from **controlling your actions**.

The most common emotions are **fear, greed**, and the **fear of missing out**.

**Fear** makes you close winners too early or skip valid trades.

**Greed** makes you hold too long or risk too much.

The **fear of missing out** drags you into trades that were never part of your plan.

After a loss, frustration can turn into **revenge trading**, where you trade in anger and lose even more.



The defense against all of these is the same. You **lean on your habits and your rules.** When you feel the pull of emotion, you return to your checklist and your plan.

The rules do not feel fear or greed. They simply ask if your conditions are met. By **following** them, you **let logic act** for you while the emotion passes.

This is why all the earlier work matters in the moment. Your routine, your plan, your testing, and your clean setup are what hold you steady when feelings run high.

You will not become calm by trying harder in the moment. **You become calm by building habits that carry you through it.**

## 5. REVIEWING & ENDING YOUR TRADING DAY

A trading day is not finished when the market closes. **It is finished when you review it.** The review is how today's trades become tomorrow's skill.

At the end of the session, you return to your journal. You log each trade with its facts and an honest note. You ask the simple questions from your reviews.

- **Did you follow your rules?**
- **Did emotions affect you?**
- **What did you do well, and what needs to improve?**

This short habit closes the loop between **doing** and **learning**.



**Ending the day well also means stopping at the right time.**

If you hit your daily loss limit or your maximum trades, you stop, even if you want to keep going.

**Walking away is itself an act of execution.**

It protects your account and your mind for the next session. A trader who knows when to stop lasts far longer than one who does not.

This brings the whole book together. You moved from knowing to doing. You learned to read the market, build a setup, manage risk, plan, journal, and test. **Execution is where all of it becomes real,** one trade and one day at a time.

Consistency is not built in a single trade. It is built by **repeating a good process, again and again,** until it becomes who you are.



# KEY TAKEAWAYS

- ✓ A short, steady pre-market routine prepares your mind and keeps you calm.
- ✓ Clean execution means acting on a trusted plan without hesitation.
- ✓ Manage live trades by your rules, not by reacting to every tick.
- ✓ Lean on habits and your checklist to keep emotions from controlling your actions.
- ✓ End each day with a review, and stop when your limits are reached.

# REFLECTION

Test your understanding of this chapter.

- ❓ How does a pre-market routine help you stay calm during the session?
- ❓ Why do traders hesitate, and what helps you act without hesitation?
- ❓ What is the danger of managing a live trade by feelings instead of rules?
- ❓ How can your habits protect you when emotions are strongest?
- ❓ Why is reviewing and ending your day an important part of execution?

The best traders **trust their process**, even  
*under pressure.*

# DISCLAIMER

This book is for educational purposes only. It is not financial advice.

The content shares general trading ideas and methods. It does not tell you what to buy, sell, or trade. Nothing here is a recommendation for any specific market, asset, or decision.

Trading involves risk. You can lose some or all of your money. Only trade with money you can afford to lose. Past results do not guarantee future results, and no method can remove the risk of loss.

The author and Trading Precision are not licensed financial advisors. Before making any financial decision, do your own research and consider speaking with a qualified professional.

By reading this book, you agree that you are responsible for your own trading decisions. The author and Trading Precision are not responsible for any losses or damages that result from using this information.

# TP

You started this book knowing the market.  
You finish it ready to act in it.

Execution is not a skill you learn once. It is a process you repeat. Read the market, build your setup, manage your risk, follow your plan, and review your trades.

You will not get every trade right. No one does. Your edge comes from following a process you trust and staying in the game long enough to improve.

Knowing was the first step. Doing is the real work. Keep your actions clean, your rules clear, and your mind calm.

The next book, **Mastery**, is waiting when you are ready.